higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

FINANCIAL ACCOUNTING N5

21 NOVEMBER 2019

This marking guideline consists of 7 pages.

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QUESTION 1

1.1 **INCOME STATEMENT OF SUGAR FAIRY – 31 JULY 2018**

Net profit		R210 330✓
Less: operating expenses		(R44 000)✓
Salary	R42 000✓✓	
Interest on loan (Late)	R2 000✓✓	
Net profit for the year		R166 330✓✓

APPROPRIATION STATEMENT

		Choc	Late	Total
Interest on capital		R9 750✓✓	R3 750✓✓	R13 500☑
Interest on current		(R690)✓✓	R1 242✓✓	R552☑
Interest on drawings		(R1 200)✓✓	(R1 683)✓✓	(R2 883) ☑
Salary		-	R54 000✓	R54 000☑
General reserve	R6 700✓	-	-	R6 700☑
Current account		R62 974✓	R31 487✓	R94 461☑
	R6 700✓	R70 834✓	R88 796✓	R166 330☑

NOTE: ☑ principle marking (34)

1.2 **CURRENT ACCOUNT: CHOC**

Balance b/d	R3 450✓	Interest on capital	R9 750✓
Interest on current	R690✓	Salary	R7 000✓
Drawings	R22 500✓	Appropriation	R62 974☑
Interest on drawings	R1 200✓		
Balance c/d	R51 884		
TOTALS	R79 724		R79 724
		Balance b/d	R51 884✓

CURRENT ACCOUNT: LATE

Drawings	R31 550✓	Balance b/d	R6 210✓
Interest on drawings	R1 683✓	Interest on current	R1 242✓
		Interest on capital	R3 750✓
		Interest on loan	R2 000✓
Balance c/d	R11 456	Appropriation	R31 87☑
TOTALS	R44 689		R44 689
		Balance b/d	R11 456✓

(8 + 8) (16)
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QUESTION 2

2.1. **BRANCH STOCK**

Balance b/d	R144 000✓	Goods to branch	R18 000✓
Goods to branch	R880 000✓	Branch bank	R240 000✓
Branch adjustment	R1 500✓	Branch debtors	R640 000✓
		Branch adjustment	R3 200✓
		Branch adjustment	R95 700✓
		Balance c/d	R28 600
	R1 025 500		R1 025 500
Balance b/d	R28 600✓		

(9)

2.2 **BRANCH ADJUSTMENT**

Goods to branch	R6 750✓	Goods to branch	R330 000✓
Branch stock	R3 200✓	Balance b/d	R54 000✓
		Branch stock	R1 500✓
Branch stock	R95 700✓		
Balance c/d	R10 725		
Branch profit and loss	R269 125✓		
	R385 500		R385 500
		Balance b/d	R10 725✓

(8)

2.3 **BRANCH DEBTORS**

Branch stock	R640 000✓	Branch bank	R356 000✓
		Branch discount	R4 800✓
		Branch bad debt	R276✓
		Balance c/d	R278 924
	R640 000		R640 000
Balance b/d	R278 924✓		

(5)

2.4 **BRANCH BANK**

Balance b/d	R1 000✓	Branch water and electricity	R5 808✓
Branch debtors	R356 000✓	Branch repairs	R560✓
Branch stock	R240 000✓	Branch fuel	R700✓
		Head office	R588 932✓
		Balance c/d	R1 000
	R597 000		R597 000
Balance b/d	R1 000✓		

(8)

2.5 **GOODS TO BRANCH**

Branch stock	R18 000✓	Branch stock	R880 000✓
Branch adjustment	R330 000✓	Branch adjustment	R6 750✓
Head office trading account	R538 750✓		
	R88 6750		R88 6750

(5)

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2.6 **BRANCH PROFIT AND LOSS**

Branch water and electricity	R6 336✓	Branch adjustment	R269 125✓
Branch repairs	R560		
Branch fuel	R700		
Branch salary	R65 400		
Branch telephone (6 773 + 231)	R7 004✓		
Branch stationery (2 472 – 389)	R2 083✓		
Branch bad debts	R276✓		
Head office profit and loss	R186 766		
	R269 125		R269 125

(5)
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QUESTION 3

3.1 3.1.1 **LIFO method**

Date	Receipts		Issued		Balances		
	Units	Totals	Units	Totals	Units	Totals	Totals
1					30 @ R10,80	R324	R324✓
4	45 @ R11,10	R499,50✓			30 @ R10,80	R324✓	
					45 @ R11,10	R499,50✓	R823,50✓
7			45 @ R11,10	R499,50✓			
			10 @ R10,80	R108✓	20 @ R10,80	R216✓	R216✓
18			15 @ R10,80	R162✓	5 @ R10,80	R54✓	R54✓
28	20 @ R13,50	R270✓			5 @ R10,80	R54✓	
					20 @ R13,50	R270✓	R324✓

(16)

3.1.2 **Average weighted method**

Date	Receipts		Issued		Balances	
	Units	Totals	Units	Totals	Units	Totals
1					30 @ R10,80✓	R324✓
4	45 @ R11,10	R499,50✓			75 @ R10,98✓	R823,50✓
7			55 @ R10,98	R603,90✓	20 @ R10,98✓	R219,60✓
18			15 @ R10,98	R164,70✓	5 @ R10,98✓	R54,90✓
28	20 @ R13,50	R270✓			25 @ R13✓	R325✓

(14)

3.2 Gross profit: Normal sales
R1 384 500 × 60/160 = R519 187,50✓✓✓ (3)

Gross profit: Wholesalers
R485 000 × 45/145 = R150 517,24✓✓✓ (3)

Gross profit: Staff
R910 500 × 10 / 110 = R82 772,73✓✓✓ (3)

Total gross profit = R752 477,47✓ (1)

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QUESTION 4

4.1 **BALANCE SHEET OF ZENANI TRADERS – 28 FEBRUARY 2018**

	Notes		
ASSETS			
Noncurrent assets			R229 920☑
Land, buildings and vehicles	1	R229 920✓✓	
Current assets			
Inventory	2	R23 680✓✓	
Debtor control		R 9 443✓	
Cash and cash equivalent	3	R12 627✓✓	
Total assets			R275 670☑
EQUITY AND LIABILITIES			
Owners' equity			R262 788☑
Capital	4	R262 788	
Noncurrent liabilities			
Current liabilities			R12 882☑
Creditors	5	R12 882	
TOTAL EQUITY AND LIABILITIES			R275 670☑

(12)

4.2 **Notes:**

1. **Land, buildings and vehicles**

	Gross carrying amount	Accumulated depreciations	Net carrying amount
Land and buildings	R200 000✓	-	R200 000✓
Vehicles	R41 600✓✓	(R11 680)✓✓	R29 920✓
	R241 600	(R11 680)	R229 920

(7)

Reconciliation of carrying amount

	Land and buildings	Vehicles
Balance at the beginning	R200 000✓	R26 200☑
Addition at cost price	-	R9 600☑
Depreciation for the year	-	(R5 880)☑
Balance at the end	R200 000✓	R29 920☑

(6)

2.

INVENTORY			R23 680✓
Trading stock		R22 560✓	
Consumable stores		R1 120✓	
Packaging	R 976 ✓		
Stationery	R144✓		

(5)

3.

CASH AND CASH EQUIVALENTS			R12 627✓
Bank	R12 477✓		
Petty cash	R150✓		

(3)

4.

CAPITAL			R262 788✓
Balance the beginning	R221 414✓		
Plus: Net profit	R81 594☑		
Less: Drawings	(R40 220)✓		

(4)

5.

CREDITORS			R12 882✓
Balance		R12 470✓	
Add: expenses accrued		R412✓	

(3)
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QUESTION 5

5.1 Gross profit percentage on cost of sales

$$\frac{\text{Gross profit}}{\text{Cost of sales}} \times 100\checkmark$$

$$= \frac{\text{R191 140}\checkmark}{\text{R262 500}\checkmark} \times 100$$

= 72,82%✓✓

5.2 Net profit percentage on sales

$$\frac{\text{Net profit}}{\text{Sales}} \times 100\checkmark$$

$$= \frac{\text{R91 890}\checkmark}{\text{R520 000}\checkmark} \times 100$$

= 17,67%✓✓

5.3 Stock turnover rate

Cost of sales✓
Average stock

= R262 500✓
R52 500✓ (R40 000 + R65 000)/2

= 5 times✓✓

5.4 Solvency ratio

Total assets:Total liabilities✓

895 100✓:44 300✓

20.21:1✓✓

5.5 Debtors collection period (in days)

Average debtors × 365✓
Credit sales

= R74 125✓ × 365 (R60 150 + R88 100)/2
R520 000✓

= 52,03 days✓✓

5.6 Acid-test ratio

Current assets – inventory:Current liabilities✓

153 100 – R65 000✓:44 300✓

88 100:44 300

1,99:1✓✓

(6 × 5) **[30]**

TOTAL: 200

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